P 1 8

Pre-Leaving Certificate Examination, 2026

ACCOUNTING – HIGHER LEVEL

(400 marks)

TIME: 3 HOURS

This paper is divided into 3 Sections:

Section 1: Financial Accounting (120 marks).
This section has four questions (numbers 1 – 4). The first question **(A or B)** carries 120 marks and the remaining three questions carry 60 marks each. Candidates should answer either **QUESTION 1 (A or B) only** OR attempt any **TWO** of the remaining three questions in this section.

Section 2: Financial Accounting (200 marks).
This section has three questions (numbers 5 – 7). Each question carries 100 marks. Candidates should answer **TWO** of these questions.

Section 3: Management Accounting (80 marks).
This section has two questions (numbers 8 and 9). Each question carries 80 marks. Candidates should answer **ONE** of these questions.

Calculators
Calculators may be used in answering the questions on this paper. It is very important that workings are shown in the answer book(s) so that full credit can be given for correct work.

SECTION 1 (120 marks)

Answer **Question 1** (A OR B) OR any **TWO** other questions

1. Answer (A) OR (B)

(A) Company Final Accounts including a Manufacturing Account

Barry Ltd has an authorised capital of €1,550,000 divided into 1,250,000 ordinary shares of €1 each and 300,000 6% preference shares of €1 each. The following trial balance was extracted from the books on 31/12/2025:

	€	€
Plant and machinery (cost €400,000)	310,000	
Factory buildings (cost €1,400,000)	1,250,000	
Sale of scrap materials		15,800
Selling expenses	74,000	
Royalty payments	27,000	
Direct factory wages	388,000	
Stock on hand 01/01/2025		
Raw materials	90,000	
Work in progress	40,000	
Finished goods	70,500	
Sales		1,450,000
Patents	100,000	
Rent		18,000
Purchase of raw materials	75,000	
Carriage on raw materials	5,250	
Hire of special equipment	20,400	
Debtors and Creditors	185,000	51,750
Capital Reserve		25,000
4% Investment (acquired on 01/06/2025)	200,000	
Issue Share Capital		
Ordinary Shares		900,000
Preference Shares		220,000
Investment income received		1,750
Administration expenses (including suspense)	28,500	
General factory overheads	45,000	
7% Debentures		240,000
VAT		11,100
Profit and Loss balance 01/01/2025		38,500
Discount net		6,000
Bank		47,250
Dividends paid	115,000	
Debenture interest	10,500	
Bad debt provision		9,000
	3,034,150	3,034,150

The following information and instructions are to be taken into consideration:

(i) Stock on hand at 31/12/2025

Raw materials	€36,000
Work in progress	€25,500
Finished goods	€82,000

The figure for finished goods includes items which cost €10,000 to produce, but now have a sales value of €6,000.

(ii) Included in the figure for sale of scrap materials is €3,900 received from the sale of an old machine on 30/04/2025. This machine had cost €35,000 on 01/01/2022. This cheque had been entered in the bank account. This was the only entry made in the books.

(iii) During 2025, Barry Ltd built an extension to the factory. The work was carried out by the company's own employees. The cost of their labour €60,000 was included in factory wages. The cost of materials used €25,000 is included in purchases. No entry was made in the books in respect of this extension.

(iv) During the year, stock of raw materials which had cost €7,000 were destroyed by fire. The insurance company agreed to pay compensation of €6,440 (92% of their orginal value). No entry has been made in the books in respect of the fire.

(v) The suspense figure arises as a result of discount received €1,050 entered only in the discount account and credit purchases of raw materials €15,000 which were entered only in the creditors account.

(vi) Depreciation is provided on fixed assets as follows:
Factory buildings – 3% of cost at 31/12/2025. Depreciation on buildings is to be allocated 75% to factory and the remainder to administration expenses.
Plant and machinery – 15% on cost per annum from date of purchase to date of sale.

(vii) Patents are being written off over a 6-year period which commenced in 2023.

(viii) The figure for bank in the trial balance has been taken from the firm's records. However, a bank statement dated 31/12/2025 had arrived showing an overdraft of €33,000. A comparison of the bank account and the bank statement revealed the following discrepancies:

1. A cheque for €500 received from a debtor has been dishonoured. This has not been entered in the books.
2. Rent of €12,000 for six months ending 31/05/2026 was paid directly into the firm's bank account.
3. A cheque of €2,750 issued to a supplier had not been presented for payment.

(ix) A transfer of €300,000 should be made from profit to the capital reserve.

(x) Provision should be made for the following:

1. Investment income due and debenture interest due.
2. The creation of a provision for bad debts equal to 6% of debtors.

Required:

(a) Prepare a manufacturing, trading, profit and loss account for the year ended 31/12/2025 (75)

(b) Prepare a balance sheet as at 31/12/2025 (45)

(120 marks)

(B) Sole Trader – Final Accounts

The trial balance shown below was extracted from the books of Kevin Clifford on the 31/12/2025.

	€	€
Land & Buildings (Cost €700,000)	550,000	
Delivery Vans	375,000	
Accumulated depreciation – delivery vans		50,000
Equipment at cost	125,000	
Sales		1,880,000
Purchases	1,350,000	
Returns in and returns out	140,000	120,000
Discount (net)		8,250
Stock 01/01/2025	90,400	
Rent & Rates	18,000	
Capital		650,000
Patents (incorporating 3 months investment income)	56,700	
Salaries and general expenses (incorporating suspense)	145,000	
PAYE & PRSI		7,800
Bank		29,700
VAT		3,140
6% Investment (acquired on 01/03/2025)	220,000	
4% Fixed mortgage (including €40,000 issued on 01/05/2025)		400,000
Debtors and creditors	55,500	30,300
Mortgage interest paid for the first 4 months	4,300	
Bad debts provision		4,000
Advertising	18,000	
Investment Income received		3,500
Drawings	49,290	
Commission		10,500
	3,197,190	**3,197,190**

The following information and instructions are to be taken into consideration:

(i) Stock at 31/12/2025 at cost €82,000. This figure includes damaged stock which cost €6,000 and now has a net realisable value of €3,500.

(ii) Goods purchased on credit from a supplier were in transit on 31/12/2025. The invoice for these goods had been received for €17,080, which included VAT at 22%. No record was made in the books in respect of this transaction.

(iii) During 2025, stock which cost €25,000 was destroyed by fire. The insurance company has agreed to contribute €21,000 in compensation for the fire damage. No entry had been made in the books in respect of the fire.

(iv) Provide for depreciation on delivery vans at the annual rate of 15% of cost from the date of purchase to the date of sale.
NOTE: On 31/03/2025, a delivery van which had cost €55,000 on 31/08/2021 was traded in against a new van which cost €70,000. An allowance of €23,400 was given on the old van. The cheque for the net amount of this transaction was entered in the bank account but was incorrectly treated as a purchase of trading stock. These were the only entries made in the books in respect to this transaction.

(v) The suspense figure arises as a result of the incorrect figure for mortgage interest (although the correct entry had been made in the bank account) and a payment of €4,750 to creditors entered only the bank account.

(vi) Patents (incorporating 3 months investment income) are being written off over 6 years.

(vii) The advertising payment is towards a 36-month campaign which began on 01/09/2025.

(viii) Goods taken by the owner for his own personal use during the year were not recorded. These goods had a retail value of €9,200, which is cost plus 15%.

(ix) Buildings are to be depreciated at the rate of 2% of cost per annum (Land at cost was €340,000). It was decided to revalue the land and buildings at €820,000 on 31/12/2025.

(x) The figure for the bank account in the trial balance has been taken from the firm's own records. However, a bank statement dated 31/12/2025 has arrived showing a bank overdraft of €24,700 value. A comparison of the bank account and the bank statement has revealed the following discrepancies:

1. A credit transfer for €2,000 had been received on 31/12/2025 in respect of a debt of €3,000 previously written off as bad. The Debtor (John Smyth) has agreed to pay the remainder within 3 months. No entry was made in the books to record this transaction.
2. A cheque for rent €3,000 had not yet been presented for payment.

(xi) Provision should be made for the following:

1. Investment income due and mortgage interest due.
   (**NOTE**: 15% of mortgage interest for the year refers to the private section of the building).
2. Provision for bad debts to be adjusted to 8% of debtors.
3. Equipment to be depreciated at 5% of cost per annum.

Required:

(a) Prepare a trading and profit and loss account for the year ended 31/12/2025. (70)

(b) Prepare a balance sheet at at 31/12/2025. (50)

(120 marks)

2. Creditors Control Account

The creditors' ledger control account of S. Davison showed the following balances:

€50,500 cr and €350 dr on 31/12/2025. These figures did not agree with the schedule (list) of creditors balances extracted on the same date. An examination of the books revealed the following:

(i) Discount disallowed by a supplier of €124 had been recorded as discount received €104 in the general ledger and debited as €14 in the supplier's account.

(ii) Cash purchases by S. Davison of €700 and credit purchases of €570 has both been debited to a supplier's account.

(iii) An invoice received by S. Davison showing the purchase of goods for €1,800 less trade discount 15% had been entered correctly in the appropriate day book and then posted to the incorrect side of the personal account.

(iv) S. Davison has returned goods €550 to a supplier and entered this correctly in the books. However, a credit note arrived showing a deduction of 4% for a restocking charge. The total amount of this credit note was credited to the creditor's account. In relation to the credit note, no other entry was made in the books.

(v) A private debt of €2,400 owed to S. Davison had been offset in full settlement against a business debt of €2,000 owed by S. Davison. The only entry in the books to record this transaction was a debit of €2,400 in the supplier's account.

(vi) A creditor had charged S. Davison interest of €109 on an overdue account. The only entry made in the books for this interest had been €59 credited to the creditor's account. After a complaint by Davison, this charge had been reduced to €40 but this reduction had not been reflected in the books.

Required:

(a) Prepare the adjusted creditors' ledger control account. (30)

(b) Prepare the adjusted schedule of creditors showing the original balance. (22)

(c) **(i)** Explain the purpose of control accounts in any business.

(ii) Why would a discount be disallowed by a supplier? (8)

(60 marks)

3. Depreciation

Express Haulage Plc prepares its final accounts to 31st December each year. The company's policy is to depreciate its vehicles at the rate of 15% of book value (reducing balance) per annum, calculated from the date of purchase to the date of disposal and to accumulate this depreciation in a Provision for Depreciation Account. (Calculations should be to the nearest euro)

On 01/01/2023, Express Haulage Plc owned the following vehicles:

No. 1 purchased on 01/01/2020 for €45,000
No. 2 purchased on 01/01/2021 for €60,000
No. 3 purchased on 01/01/2022 for €72,000

On 01/10/24, vehicle No. 1 was traded in for €17,500 against a new vehicle costing €75,000. Vehicle No. 1 had a refrigeration unit fitted on 01/01/2023 costing €21,000. This refrigeration unit was depreciated at the rate of 30% for the first year, and thereafter at 15% of book value.

On 01/05/2025, vehicle No. 3 was crashed and traded in against a new vehicle costing €80,000. The company received compensation from the insurance company to the value of €28,000 and the cheque paid for the new vehicle was €68,000

You are required to show, with workings, for each of the two years 2024 and 2025:

(a) The vehicle account (6)

(b) The provision for depreciation account (25)

(c) The vehicles disposal account (14)

(d) **(i)** Explain the term "residual value" in relation to fixed assets.

(ii) Show the relevant extract from the profit and loss account and the balance sheet on 31/12/2025. (15)

(60 marks)

4. Published Accounts

Reynolds Plc has an authorised capital of €975,000 divided into 700,000 ordinary shares at €1 each and 275,000 8% preference shares at €1 each. The following trial balance was extracted from its books on 31/12/2025:

	€	€
Land and buildings at cost	940,000	
Buildings – accumulated depreciation on 01/01/2025		92,000
Quoted investments at cost (market value €150,000)	110,000	
Unquoted investments at cost (Accountants value €140,000)	120,000	
Stock 01/01/2025	95,000	
Vehicles at cost €500,000	425,000	
Administrative expenses	130,000	
Distribution costs	250,500	
Patent 01/01/2025	50,000	
Profit on sale of land		70,000
Purchases and sales	1,600,000	2,600,000
7% Debentures 2027/2028 (including €60,000 debentures issued on 01/09/2025)		600,000
Discount (net)		35,000
Debenture interest paid	17,500	
Commission		18,000
Bank	121,000	
Debtors and creditors	120,000	42,000
PAYE/USC	7,750	
Provision for bad debts		10,750
Investment Income received – quoted		12,000
Investment income received – unquoted		6,000
Issued capital		
Ordinary shares		500,000
8% preference shares		125,000
Rental income		20,000
Directors fees	40,000	
Dividends paid	60,000	
Profit and loss account at 01/01/2025	44,000	
	4,130,750	**4,130,750**

The following information is also relevant:

(i) Stock on 3/12/2025 was €120,000.

(ii) The patent was acquired on 01/01/2021 for €90,000. This is being amortised over 9 years in equal installments. The amortisation is to be included in cost of sales.

(iii) Included in administrative expenses is the receipt of €25,000 for patent royalties.

(iv) Depreciation is to be provided as follows:
Buildings at the rate of 2% of cost per annum straight line and to be allocated 25% to distribution costs and 75% to administration expenses.

(v) Depreciation on delivery vans at the rate of 15% of cost per annum straight line.

(vi) There was no purchase or sale of buildings. During the year, land which had cost €80,000 was sold for €150,000. The remaining land had cost €240,000.

(vii) Provide for debenture interest due, investment income due, auditors' fees €8,500 and directors' fees €67,000.

(viii) Provide for sales commission of 3% on sales in excess of €1,800,000 and corporation tax €80,000.

(ix) On the 31/12/2025, Reynolds Plc entered into a preliminary contract agreement with Hayes Ltd (building firm) to build an extention to its premises at a cost of €525,000.

You are required to:

(a) Prepare the published profit and loss account for the year ended 31/12/2025, in accordance with the Companies Acts and appropriate accounting standards showing the following notes:

1. Accounting policy notes on tangible fixed assets and stock
2. Operating profit
3. Dividends
4. Tangible fixed assets
5. Capital expenditure commitments note (54)

(b) Explain **three** reasons why a public limited company publishes its annual report and accounts. (6)

(60 marks)

SECTION 2 (200 Marks)
Answer any **TWO** questions

5. Interpretation of Accounts

The following figures have been extracted from the final accounts of Campbell Plc, a manufacturer in the solar energy and insulation industry, for the year ended 31/12/2025.

The company has an authorised share capital of €650,000 made up of €500,000 ordinary shares at €1 each and €150,000 5% preference shares at €1 each. The firm has already issued 400,000 ordinary shares and 100,000 preference shares.

Trading and Profit and Loss account for the year ended 31/12/2025	
	€
Sales	624,100
Cost of sales	(475,000)
Total operating expenses for the year	(80,000)
Interest for the year	(8,100)
Net profit for the year	61,000
Dividend paid	(42,000)
Retained profit	19,000
Profit and loss balance 01/01/2025	36,000
Profit and loss balance 31/12/2025	55,000

Ratios and information for the year ended 31/12/2024	
Quick ratio	1.4:1
Dividend per ordinary share (DPS)	6c
Interest cover	4 times
Gearing	38%
Price earnings ratio	11.47 years
Earnings per ordinary share (EPS)	17c
Return on capital employed	12%
Dividend yield	3.08%
Market value of one ordinary share	€1.95
Dividend cover	2.83 times

Balance Sheet as at 31/12/2025			
		€	€
Fixed Assets			
Intangible		110,000	
Tangible		500,000	610,000
4% Investments (market value 31/12/2025 €80,000)			110,000
			720,000
Current Assets (including stock €70,000 and debtors 100,000)		170,000	
Less Creditors: amounts falling due within 1 year			
Bank overdraft	25,000		
Trade creditors	40,000	65,000	
			105,000
			825,000
Financed by:			
3% Debentures (2037/2038 secured)			270,000
Capital and Reserves			
Ordinary shares @ €1 each		400,000	
5% preference shares @ €1 each		100,000	
Profit and loss balance 31/12/2024		55,000	555,000
			825,000

Market value of one ordinary share on 31/12/2025 is **€1.61**

(a) **You are required to calculate the following for 2025:**

(where appropriate, calculations should be made to **two** decimal places).

(i) The opening stock if the rate of stock turnover is 10 based on average stock.

(ii) Dividend yield.

(iii) Interest cover.

(iv) Gearing.

(v) Cash sales if the average period of credit given to debtors is 2 months. (50)

(b) Indicate whether the debenture holders would be satisfied with the performance, state of affairs and prospects of the company. Use relevant ratios and other information to support your answer. (40)

(c) The gross profit percentage in 2023 was 31% and in 2024 it was 28%.

(i) Calculate the gross profit percentage for 2025.

(ii) Explain the factors that may have influenced this trend in gross profit percentage over this period.

(iii) What strategies could the company implement to reverse this trend in the future? (10)

(100 marks)

6. Correction of Errors and Suspense Account

The trial balance of Simon Walsh, a sole trader who runs a motor car business, failed to agree on 31/12/2025. The difference was entered in a suspense account and the following balance sheet was prepared:

Balance Sheet as at 31/12/2025			
Fixed Assets	**€**	**€**	**€**
	Cost	**Dep to date**	**NBV**
Premises	500,000	75,000	425,000
Equipment	225,000	15,000	210,000
	725,000	90,000	635,000
Current Assets			
Stock	92,500		
Debtors (including suspense)	54,000	146,500	
Less Creditors: amounts falling due within 1 year			
Creditors	60,000		
Bank	43,500	103,500	43,000
			678,000
Financed by:			
Capital		460,000	
Net Profit		255,000	
		715,000	
Less: drawings		(37,000)	**678,000**

On checking the books, the following errors and omissions were discovered:

(i) A new car costing €42,000 purchased on credit from a supplier – Motors Ltd – had been entered on the incorrect side of the supplier's account for the correct amount and credited to the purchases account as €24,000. These were the only entries made in the books in respect of this transaction.

(ii) Simon Walsh had returned goods previously purchased on credit from a supplier for €4,200, and had entered this transaction in the relevant ledger accounts incorrectly as €2,400. Subsequently, the supplier disallowed €310 of the returns when they realised that the returned stock had gone beyond its 'use by' date. The only entry for this was to credit the purchases account with €1,300.

(iii) A payment of €1,750 was received from K. Keegan, a former debtor whose debt had previously been written off and wishes to trade with Simon Walsh again. This represents 70% of the original debt and K. Keegan has undertaken to pay the remainder of the debt by March 2026. The only entry made in respect of this transaction was that the full amount written off was credited to the debtor's account.

(iv) Simon Walsh sent a cheque for €1,050 in full settlement of a business debt of €1,200 and this was recorded correctly in the books. However, no entry had been made in the books for the dishonouring of this cheque and the subsequent payment of the amount in full by Simon Walsh from a personal bank account.

(v) On the 31/12/2025, Simon Walsh revalued the premises at €700,000. This was completely omitted from the books.

Required:

(a) Journalise the necessary corrections. (50)

(b) Show Simon Walsh's suspense account. (8)

(c) Prepare a statement showing the corrected net profit for Simon Walsh. (14)

(d) Prepare the corrected balance sheet of Simon Walsh (20)

(e) **(i)** Outline the purpose of preparing a trial balance.

(ii) Give an example of an Error of Principle. Will this type of error by revealed by a trial balance? Explain your answer. (8)

(100 marks)

7. Club Accounts

Included in the assets and liabilities of Coast Tennis Club on 01/01/2025 were the following: Clubhouse & Courts (at cost) €600,000; bar stock €1,478; Equipment (at cost) €47,000; bar debtors €800; life membership €58,000; bar creditors €1,600; wages due €750; levy reserve fund €40,000; subscriptions received in advance €1,700; 4% Investments €60,000; investment interest due €395.

All fixed assets already have 2 years' depreciation accumulated at 01/01/2025.

Receipts	**€**		**Payments**	**€**
Balance 01/01/2025	89,390		Catering purchases	28,500
Subscriptions	195,000		Bank loan and 14 months' interest at 6% per annum on 30/04/2025	53,500
Bar receipts	84,000		Sundry expenses	16,000
Interest on 4% investments	2,000		Affiliation fees	18,000
Entrance fees	5,000		Repairs and maintenance	27,000
Annual sponsorship	6,200		Annual insurance payment	12,000
Competition receipts / fees	35,000		Transfer to 6% fixed interest building society account on 30/08/2025	28,000
Catering receipts	75,000		Bar purchases	45,000
			Competition prizes	17,000
Sale of Equipment (Cost €28,000)	2,500		Website maintenance	7,000
			Tennis coaching & wages	16,000
			Purchase of vouchers and gift cards	5,000
			Bank charges	2,750
			Balance c/d	218,340
	494,090			**494,090**

You are given the following additional information and instructions:

(i) Bar stock (including catering stock €600) on 31/12/2025 was €18,000.

(ii) Bar debtors and bar creditors on 31/12/2025 were €900 and €7,000 respectively.

(iii) Equipment owned on 31/12/2025 is to be depreciated at the rate of 20% of cost per annum. The depreciation policy for equipment is to charge a full year's depreciation in the year of acquisition and none in the year of disposal.

(iv) The insurance payment is for the year ended 30/04/2026.

(v) The clubhouse and courts include land that cost €100,000. Depreciation is to be provided on the clubhouse and courts at a rate of 3% of cost per annum. Land is not to be depreciated.

(vi) Subscriptions include:

1. Two new life memberships of €6,000 each.
2. Levy for 2024 of €120 each from 6 members.
3. Levy for 2025 of €120 each or 400 members.
4. Subscriptions for 2026 amount to €3,500.

(vii) Life membership is to be credited to income over a 7-year period commencing in 2025.

(viii) The bank balance does not take into account an extra annual charge of €250 for internet banking and a dishonoured cheque of €1700 received from a member in respect of subscription for 2025.

Required:

(a) Show the club's accumulated fund 01/01/2025. (30)

(b) Show the club's income and expenditure account for the year ended 31/12/2025. (40)

(c) Show the club's balance sheet as at 31/12/2025 (20)

(d) The club wishes to build new tennis courts at the cost of €150,000. Outline the options available to the club in funding this project with reference to the accounts. (10)

(100 marks)

SECTION 3 (80 Marks)
Answer **ONE** question

8. Job Costing

Meehan Ltd trades as a manufacturing firm and has four departments: Production 1, Production 2 and two ancillary service departments, Service A and Service B.

The following costs relate to 2026.

	Total	Production 1	Production 2	Service A	Service B
	€	€	€	€	€
Indirect materials	485,000	230,000	150,000	60,000	45,000
Indirect labour	625,000	300,000	250,000	45,000	30,000
Machine maintenance	70,000				
Depreciation on factory building	40,000				
Factory light and heat	56,000				
Factory cleaning	20,000				
Factory canteen	15,000				

The following information relates to the four departments.

	Total	Production 1	Production 2	Service A	Service B
Volume in cubic metres	1,200	600	300	204	96
Floor area in square metres	8,000	4,000	2,000	1,520	480
Number of employees	500	290	180	20	10
Book value of buildings	800,000	440,000	280,000	48,000	32,000
Machine hours	60,000	45000	15000	----------	----------
Labour hours	94,000	34,000	60,000	----------	----------

Service department costs are to be transferred to production departments on the following percentage basis:

	Production 1	Production 2
Service A	70%	30%
Service B	40%	60%

Job No. 750 has just been completed, the details are:

	Direct Materials	Direct Labour	Machine Hours	Labour Hours
	€	€		
Production 1	7,750	2,700	70	40
Production 2	3,100	8,250	30	90

The company budgets for a profit margin of 15%.

Required:

(a) Calculate the overhead to be absorbed by each department, stating clearly the basis of apportionment used.

(b) Transfer the service department costs to production departments 1 and 2.

(c) Calculate a suitable overhead absorption rate for each department.

(d) Calculate the selling price for Job No. 750.

(e) **(i)** Explain the difference between an adverse variance and a favourable variance.

(ii) Why would an adverse variance arise in relation to direct materials and a favourable variance in relation to direct labour?

(80 marks)

9 Cash Budgeting

Bergin Ltd is preparing to set up a business on 01/07/2026 and plans to lodge €120,000 into the business bank account on this date. Bergin Ltd has made the following forecasts for the first six months of trading:

	July	August	Sept	Oct	Nov	Dec	Total
Sales	€640,000	€680,000	€720,000	€700,000	€730,000	€740,000	€4,210,000
Purchases	€180,000	€230,000	€280,000	€270,000	€320,000	€360,000	€1,640,000

(i) The expected selling price is €40.00 per unit.

(ii) The cash collection pattern from sales is expected to be as follows:

Cash Customers: 30% of sales revenue will be for immediate cash and a cash discount of 3% will be allowed.

Credit Customers: 70% of sales revenue will be from credit customers.

These debtors will pay their bills 50% in the month after sale and the remainder in the second month after sale.

(iii) The cash payment pattern for purchases is expected to be:

Credit suppliers: Purchases will be paid for 50% in the month after purchase, when a 4% cash discount will be received. The remaining purchases will be paid for in the second month after purchase.

(iv) Expenses of the business will be settled as follows:

Expected costs

Wages €50,000 per month, payable as incurred.

Variable overheads €18 per unit, payable as incurred.

Fixed overheads €75,000 per month, payable as incurred.

Equipment will be leased on 01/07/2026. The rent €3,000 payable monthly will commence on 01/07/2026.

(v) Bergin Ltd wishes to keep a cash balance of at least €7,000 at the end of each month.

(vi) All borrowings are in multiples of a thousand euro and interest is at the rate of 5% per annum.

(vii) One-quarter of the money borrowed on 31/07/2026 is to be repaid at the end of December, together with interest to date on the repaid amount.

Required:

(a) Prepare a cash budget for Bergin Ltd for the six months July to December 2026.

(b) Prepare a budgeted trading and profit and loss account for Bergin Ltd for the six months ending 31/12/2026.

(c) Explain why budgeting and costing are important elements in the planning process in any business.

(80 marks)

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